

European Utilities & Clean Energy

District Cooling: Europe's heatwaves are testing the network - and reinforcing its growth potential



Bartlomiej Kubicki
+49 69 717 4418
bartlomiej.kubicki@bernsteinsg.com



Thibault Dujardin, CFA
+33 1 58 98 59 16
thibault.dujardin@bernsteinsg.com



Abdessamad Raghbi, Ph.D.
+212 5 22 86 79 41
abdessamad.raghbi@bernsteinsg.com



Jorge Alonso Suils
+34 915 893 913
jorge.alonso@bernsteinsg.com



Rory Graham-Watson
+44 20 7676 7093
rory.graham-watson@bernsteinsg.com



Ken-Ree Choong
+44 20 7676 8243
ken-ree.choong@bernsteinsg.com

Specialist Sales



Gareth Williams
+44 20 7762 5256
gareth.b.williams@bernsteinsg.com

*As Western Europe faces its third heatwave since May, demand for cooling solutions has come into sharp focus, with sales of fans and air conditioners surging. Less obvious, however, is the pressure extreme temperatures are placing on district cooling infrastructure. Against this backdrop, we take a closer look at the district cooling sector - how these systems work, their key advantages and limitations, and their long-term growth prospects. We also examine the positioning of two leading French utilities active in this market, **Engie** and **Veolia**.*

A rapidly growing global market. According to Fortune Business insights, the global district cooling market was valued at \$31.2bn in 2025 and is expected to expand at an 8.0% CAGR between 2026 and 2034. The Middle East and Africa currently represent the largest market, accounting for 42% of global market. North America and Asia-Pacific account for 26% and 25% of the market respectively, while Europe remains significantly underpenetrated at just 7%.

French district cooling output is expected to more than double by 2030. France currently delivers approximately 0.9TWh of district cooling annually, but national targets call for output to exceed 2TWh by 2030, before reaching 2.5-3.0TWh by 2035. The market remains fragmented, with leading operators including Engie, Dalkia (EDF), Idex, Coriance and Veolia.

Could Europe accelerate district cooling expansion? Recent heatwaves have highlighted both the strategic importance and the capacity constraints of existing networks. As extreme weather events become more frequent, we believe policymakers and operators may accelerate investment programs aimed at expanding cooling capacity, improving network resilience, and supporting the decarbonisation of urban cooling demand.

District cooling expansion offers a growing opportunity for both Engie and Veolia, although the activity remains relatively modest within the context of their overall operations. While neither company provides detailed standalone disclosure for district cooling, Veolia's *District Heating & Cooling Networks* division generated approximately €7.2bn of revenue in 2025, representing around 16% of group revenue. We estimate that district cooling accounts for only 20-25% of this activity. Likewise, Engie's *Local Energy Infrastructures* business generated €8.8bn of revenue in 2025, equivalent to roughly 12% of group revenue. **Despite its currently limited contribution, the development and expansion of cooling projects suggests a favourable long-term growth trajectory for both companies.**

On our European coverage, we reiterate our Outperform rating with a €40.0 TP for **Veolia**, as well as our Market Perform rating and €29.4 TP for **Engie**. We also reiterate our Outperform rating with a 2.10 AED TP for Dubai Central Cooling Systems company **Empower**.

BERNSTEIN TICKER TABLE

Ticker	Rating	17 Jul 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
ENGL.FP (Engie)	M	EUR	26.86	29.40	22.5%	EUR	1.96	1.97	2.18	13.7	13.6	12.3
VIE.FP (Veolia)	O	EUR	37.51	40.00	6.0%	EUR	2.25	2.42	2.67	16.7	15.5	14.1
EMPOWER.UH (Empower)	O	AED	1.61	2.10	(34.9)%	AED	0.10	0.10	0.11	16.2	15.6	14.6
EDME			1,587.83									
ASIA			1,866.01									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

EMPOWER.UH estimate is Reported EPS; EMPOWER.UH valuation is Reported P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

On our European coverage, we reiterate our Outperform rating with a €40.0 TP for **Veolia**, as well as our Market Perform rating and €29.4 TP for **Engie**. We also reiterate our Outperform rating with a 2.10 AED TP for Dubai Central Cooling Systems company **Empower**.

DETAILS

*As Western Europe faces its third heatwave since May, demand for cooling solutions has come into sharp focus, with sales of fans and air conditioners surging ([link](#)). Less obvious, however, is the pressure extreme temperatures are placing on district cooling infrastructure. Against this backdrop, we take a closer look at the district cooling sector - how these systems work, their key advantages and limitations, and their long-term growth prospects. We also examine the positioning of two leading French utilities active in this market, **Engie** and **Veolia**. For context, please also find the initiation report on Dubai Central Cooling Systems [Empower](#) covered by Abdessamad Raghbi.*

PARIS'S DISTRICT COOLING NETWORKS HAVE BEEN PUT TO THE TEST

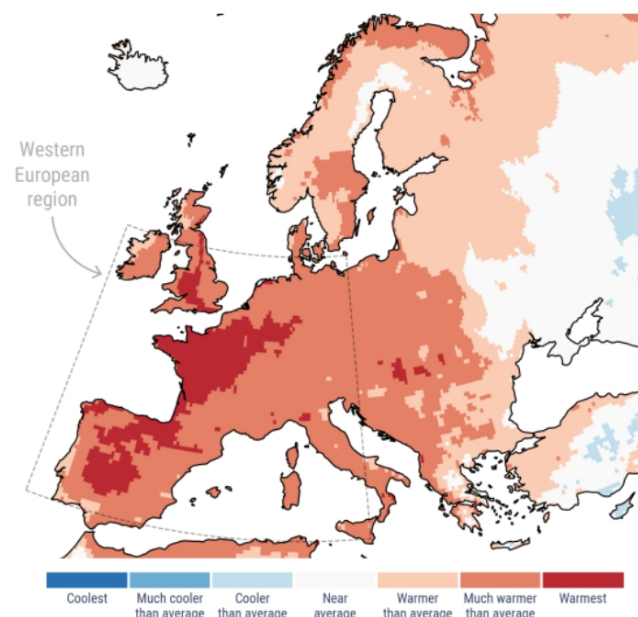
On 23 June, during the second heatwave of the season, the operator of La Défense's district cooling network - the system that supplies cooling to the office towers of Paris's main business district - warned that the network would no longer be able to operate under normal conditions. "We had built up ice reserves throughout the weekend, reaching 100% of our storage capacity in preparation for the week. Yesterday, we used nearly two-thirds of that capacity," explained Olivier Fleck, site director of Idex La Défense. "The problem is that we're consuming more ice than we have time to replenish overnight." As reported by [Le Figaro](#), the system relies on large ice-storage tanks to provide additional cooling capacity during periods of peak demand. Chilled water is then circulated through an extensive pipe network serving connected office buildings, which use it for their own air-conditioning systems. **However, the exceptional heat has pushed the system beyond its design limits.** By Thursday, the temperature of the water supplied to buildings was expected to rise from its normal 4.5°C to around 7.5°C, reducing cooling performance across the network. "It's going to become increasingly difficult. The equipment was not designed for heat of this magnitude," Fleck said. High humidity is adding to the challenge, further reducing the efficiency of the cooling towers, which were not engineered for such operating conditions.

Similar pressures are emerging elsewhere in the capital. 'Fraîcheur de Paris', the operator of the city's central district cooling network, also [warned](#) that the system was approaching its capacity limits. While no major disruptions have been reported, the network has been operating at full capacity for roughly two weeks. "No network today is designed to withstand a heatwave that is both this intense and this prolonged," noted Clémence Penin in charge of institutional relations. To maintain service, the operator temporarily increased the temperature of its chilled water by around 3°C.

Beyond managing the current heatwave, network operators are considering how to prepare for increasingly frequent and severe heat events. "There will probably be other periods of extreme heat this summer. How can we anticipate these heatwaves, which are likely to become more frequent? That's the question we'll need to address after the summer, and then decide whether additional investments are required," said Stéphane Dauphin, Regional Director at Idex. Potential solutions under consideration include expanding cooling production capacity, reports [Radio France](#). Les Echos also published an [article](#) in mid-July on district cooling networks, highlighting them as a rapidly expanding low-carbon solution for addressing extreme heat. The article noted that, for now, these activities still represent only a small portion of Engie's and Veolia's businesses. However, Veolia confirmed that around 100 district heating and cooling network projects are currently underway.

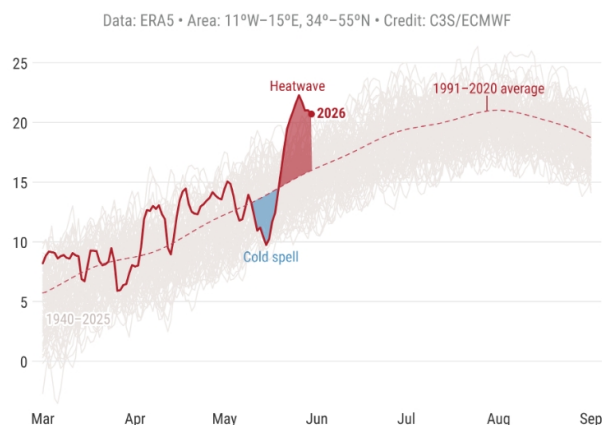
Europe facing three consecutive heatwaves. Europe has endured an extraordinary succession of heatwaves this year. According to the EU's [Copernicus Climate Change Service](#), June 2026 was the hottest June on record in Western Europe and the second warmest worldwide. The June heatwave followed an exceptionally intense episode in May and was quickly succeeded by another heatwave in early July. Temperatures reached unprecedented levels across several European countries, breaking monthly and all-time records, while the prolonged extreme heat led to severe health impacts and increased heat-related deaths.

EXHIBIT 1: June 2026 was the warmest June on record for western Europe (anomalies in surface air temperature for June 2026)



Source: Copernicus Climate Change Service

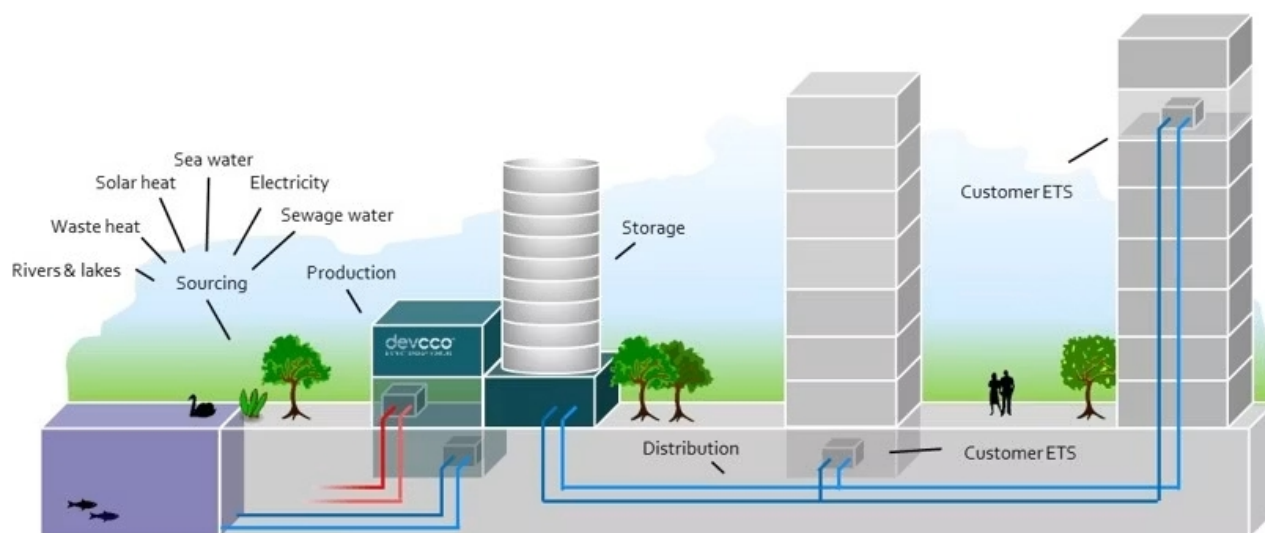
EXHIBIT 2: Daily surface air temperature for western Europe



Source: Copernicus Climate Change Service

HOW DOES A DISTRICT COOLING SYSTEM (DCS) WORK?

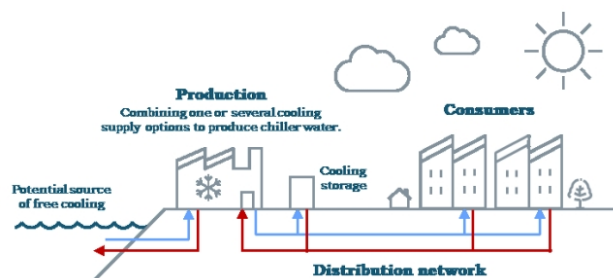
As highlighted by the International Energy Agency ([IEA](#)), district cooling relies on the centralized production of chilled water, which is distributed to end users through a closed-loop underground piping network. Chilled water is circulated by pumps from the district cooling (DC) plant to connected buildings, then at each customer site, cooling is transferred to the building's internal system through an Energy Transfer Station (ETS), before returning to the DC plant where it is chilled once again and recirculated throughout the network. District cooling systems can utilize a wide range of energy sources and technologies, including natural '**free-cooling**' sources, such as seawater, or recovered from industrial processes; as well as compression **chillers**; and absorption chillers. Thermal energy storage - typically in the form of **chilled water or ice storage** - is often incorporated to manage peak cooling demand during hot periods. By shifting cooling production to off-peak hours, these storage solutions can provide valuable flexibility to the electricity grid. Compared with conventional standalone electricity-driven equipment, district cooling can achieve energy efficiency levels that are typically five to ten times higher.

EXHIBIT 3: **General scheme of a district cooling system**

Source: IEA, Devcco - District Energy Venture

District cooling systems typically supply chilled water to customers at temperatures of approximately 5-7°C, with return water temperatures generally ranging between 12-16°C, depending on local conditions and requirements.

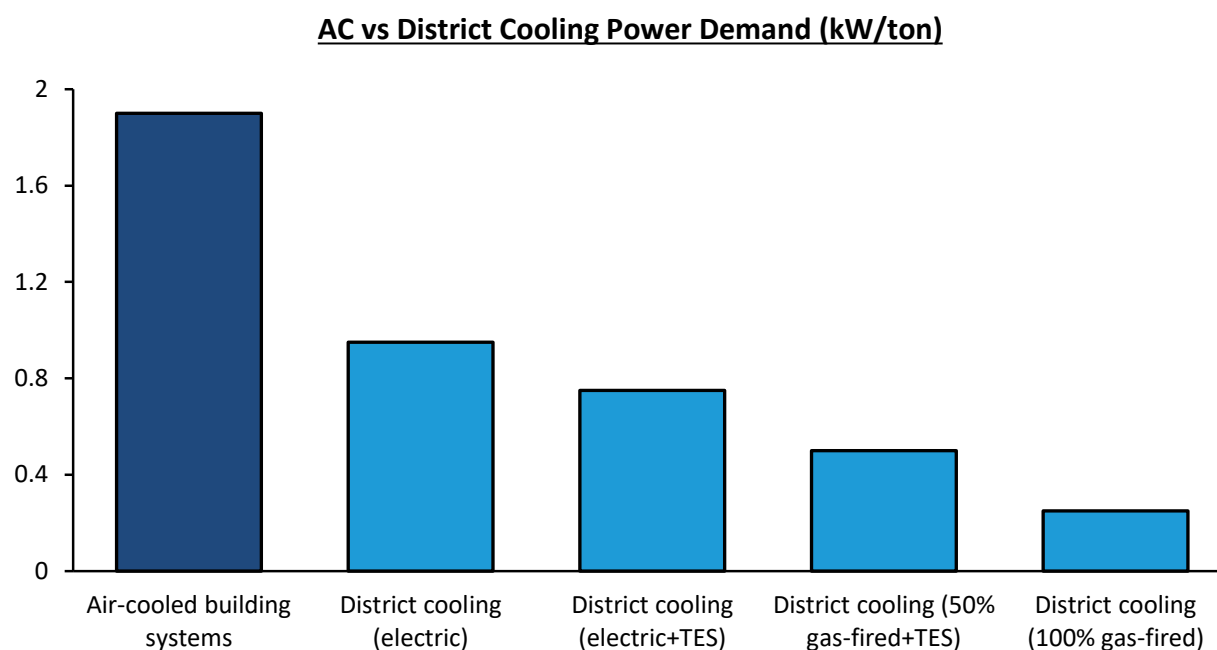
Thermal energy storage systems capitalize on periods when cooling demand is below the daily average, typically during nighttime. During these periods, the plant uses available capacity to cool return water - typically at around 15°C - back to the supply temperature of approximately 6°C and store it in the form of chilled water or ice. When cooling demand rises above average levels, often during the afternoon peak, the stored cooling energy is discharged, supplying chilled water to the network and reducing the need for additional chiller capacity. This approach helps optimize plant utilization.

EXHIBIT 4: **The general principle of DC operation**

Source: IEA

DC (District Cooling) vs AC (Air Conditioning): DC delivers a coefficient of performance (COP) 6.5 versus COP 3.0 for AC. In simple terms, DC delivers more than double the cooling for the same amount of electricity. Power use is 25% lower than best-in-class conventional systems and 50% lower than average conventional systems.

EXHIBIT 5: District cooling reduces annual electricity consumption in new developments by 45% to 86% depending on the type of technology used

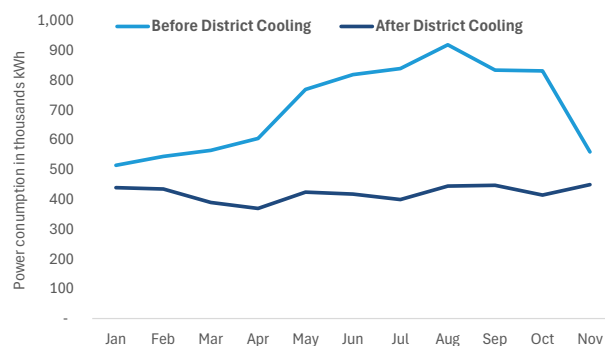


Source: District Cooling Best Practice Guide, Bernstein analysis

District cooling can help reduce peak demand and mitigate the urban heat island effect. According to an International Energy Agency (IEA) [report](#), **district cooling systems can reduce electricity consumption compared with conventional cooling solutions** (see Exhibit 6) thanks to energy efficiency. The [IEA](#) also notes that district cooling networks often incorporate thermal energy storage, such as chilled water, ice or slurry. Storage can reduce installed cooling capacity requirements and increase the amount of time systems operate at optimal load factors, thereby improving overall efficiency. It also provides greater operational flexibility by allowing chilled water to be produced when electricity prices are lower. In our view, these characteristics can help reduce peak power demand, thereby limiting the need for additional generation capacity and grid investments.

Furthermore, the [IEA](#) highlights that conventional air-conditioning systems move heat from buildings and release it into the surrounding environment. In some cities, this process can increase nighttime temperatures by more than 1°C, exacerbating the urban heat island effect. By contrast, we note that the development of DC can help mitigate the heat island effect, for instance via heat exchange with rivers or seawater.

EXHIBIT 6: Power consumption before and after conversion to district cooling



Source: IEA

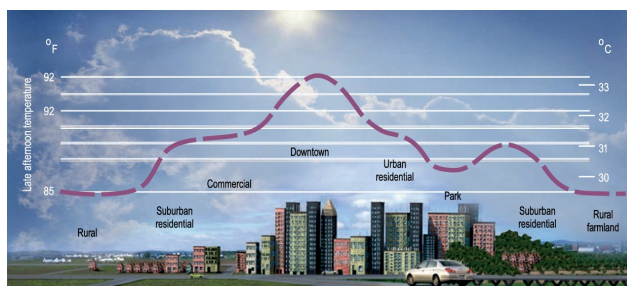
Business model: According to the IEA, business models for district energy systems are typically highly project-specific, reflecting local market conditions, regulatory frameworks, and stakeholder objectives. Public sector involvement is common and can take various forms, including acting as policymaker, planner, regulator, customer, or investor. In many cases, municipalities or public authorities also hold partial or full ownership stakes in district energy infrastructure. From a contractual perspective, district cooling business models can generally be categorized into **concession** and **non-concession** structures.

A brief history of district cooling: Although the origins of district cooling can be traced back to the early 19th century, the technology was not implemented on a practical scale until 1889, when the Colorado Automatic Refrigerating Company commissioned the first ammonia-based district cooling system in Denver. Cooling was generated by an absorption chiller with a capacity of approximately 105kW and distributed through a three-pipe distribution network. The system supplied refrigeration to a cold-storage warehouse with a volume of roughly 1,400 m³. The first commercial District Cooling systems were installed in the USA in non-residential areas near cities in the 1960s.

Overview of the global district cooling market

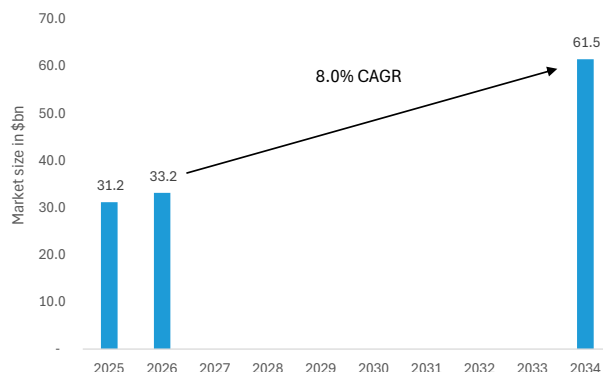
According to [Fortune Business insights](#), the global district cooling market was valued at \$31.2bn in 2025 and is projected to grow from \$33.2bn in 2026 to \$61.5bn by 2034, representing a CAGR of 8.0% over the forecast period. The Middle East & Africa region accounted for the largest share of the market in 2025, representing 41.5% of global market, reflecting the region's high cooling needs and growing urban infrastructure. In the United States, the district cooling market is expected to expand significantly, with market size projected to increase from \$6.4bn in 2026 to approximately \$10.0bn by 2032. Growth is expected to be driven by rising demand for space cooling, and supportive renewable energy policies and incentives. The commercial segment dominates the market, accounting for 72.4% of total demand in 2026, well ahead of residential and industrial uses.

EXHIBIT 7: Illustration of the heat island effect



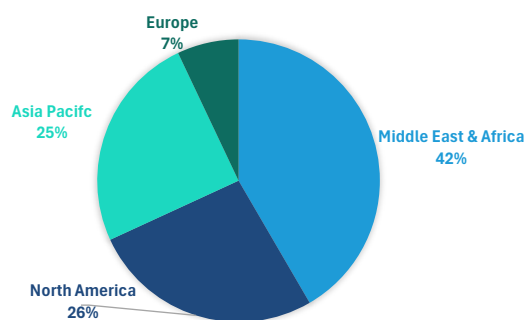
Source: LBNL (2013), Heat Island Group, <http://heatisland.lbl.gov/>

EXHIBIT 8: Global district cooling market size



Source: Fortune Business Insights

EXHIBIT 9: District cooling market in 2025, regional breakdown



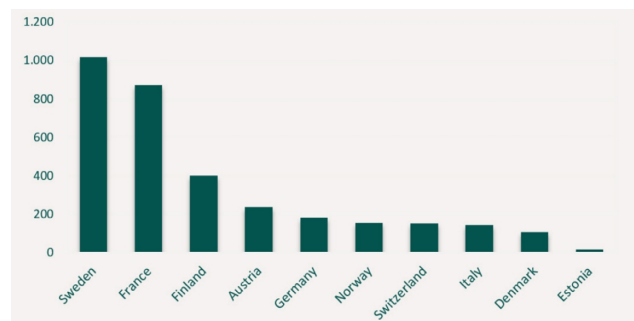
According to the study, Latin America represents 0.1% of global revenue
Source: Fortune Business Insights

Overview of European district cooling market

According to [Euroheat & Power](#), district cooling sales in Europe reached 3.3TWh in 2024, representing a 3.1% increase year-on-year. Over the 2019-2024 period, district cooling infrastructure grew at an average annual rate of 24.7% across reporting countries. Looking ahead, further growth is expected mainly in markets such as Austria, France, Norway, and Sweden. Based on projects currently under development and existing government targets, district cooling supply in Europe is projected to reach approximately 4.5TWh by 2030. In France, the government forecasts that district cooling could supply between 2.5 and 3.0TWh annually by 2035. Spain also presents significant untapped. Barcelona, for example, hosts several district cooling networks. In 2025, Veolia and Enagás commissioned an innovative project that recovers waste cold from the Enagás liquefied natural gas (LNG) terminal and injects it into Barcelona's district cooling network. The project is expected to expand over time.

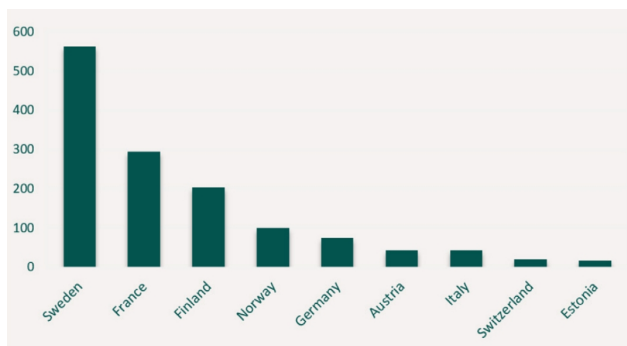
For context, according to [Eurostat](#), energy for heating and cooling makes up around half of the EU's total gross final energy consumption.

EXHIBIT 10: District cooling sales (2024), in GWh



Source: Euroheat & Power

EXHIBIT 11: District cooling trench length (2024), in km



Source: Euroheat & Power

European district heating market: By comparison, Europe has approximately 16,000 district heating networks, which supplied around 495.6TWh of heat in 2024, representing a 1.2% year-on-year decline. Germany and Poland are the largest district heating markets by heat supplied, followed by Sweden, Finland and Denmark. Distribution networks extended over 201,500km across Europe in 2024, up approximately 0.8% from the previous year and 8.4% (+15,675 km) compared with 2019.

Total installed district heating capacity in Europe remained broadly stable at approximately 283GWth in 2024. Germany is the largest market, with 49GWth of installed capacity, followed by Poland (42.1GWth), the Czech Republic (37.9GWth), France (27GWth), Denmark (26GWth), Finland (23.8GWth), and Austria (12GWth).

French district cooling market

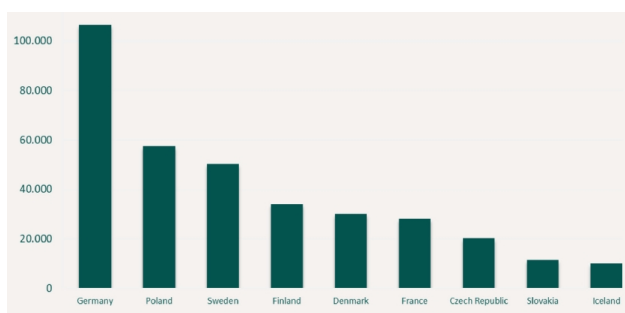
According to [FEDENE](#) (the French Federation of Energy Services), France has 49 district cooling networks, representing a total of 294km of pipelines. These systems consume approximately 0.25TWh of energy and deliver 0.87TWh of cooling to 1,841 buildings.

Under France's multi-year energy programme (PPE), cooling delivered through district cooling networks is targeted to reach 2TWh by 2030, implying more than a doubling of current volumes. The programme envisages further growth thereafter, with cooling deliveries expected to increase to between 2.5 TWh and 3 TWh by 2035. This implies a 15% CAGR over 2024-2030, followed by a CAGR between 5% and 8% over 2030-2035.

The main operators in France are ([link](#)):

- **Engie:** The company [operates](#) 22 district cooling networks in France and Monaco, including Paris center 'Fraicheur de Paris' [438MW](#) cooling network (more details in the dedicated section below).
- **Dalkia:** EDF's energy services subsidiary, Dalkia operates multiple district cooling networks throughout France, including part of La Défense ([89MW](#)) Paris business district; and Lyon ([52MW](#)).
- **Idex:** A privately owned energy services company backed by Antin Infrastructure Partners. The company operates six district cooling networks in France; including the [La Défense](#) cooling network (114MW, [link](#)), which serves Paris' largest business district; [Nice](#); and [Annecy](#).
- **Coriance:** Established in 1998 by Gaz de France, Coriance was sold as part of the antitrust remedies associated with the GDF–Suez merger (now Engie). The company is currently owned by Vauban Infrastructure Partners and Caisse des Dépôts. Coriance operates several district cooling networks in France, including Toulouse and Laval.
- **Veolia:** The company is also active in France, for instance at [Paris Saclay](#) campus (more details in the dedicated section below).

EXHIBIT 12: District heating sales for selected countries (2024), in GWh/y



Source: Euroheat & Power

EXHIBIT 13: French district cooling networks



Source: FEDENE

By comparison, the district heating sector is significantly more developed in France, with 1,041 networks spanning 7,942km of pipelines, consuming 36.1TWh of energy and supplying 32.3TWh of heat to 52,439 buildings.

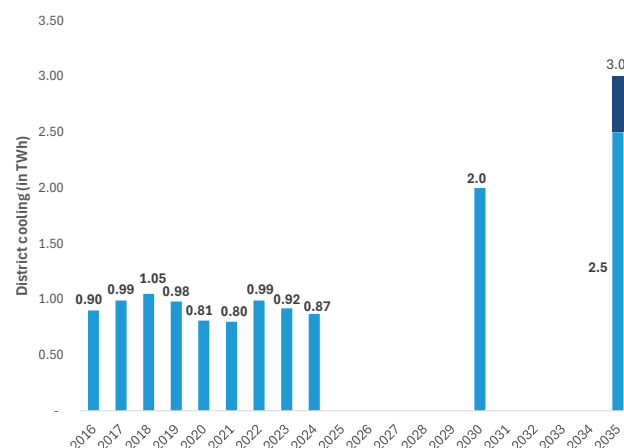
French multi-year energy programme (PPE3) sets ambitious targets for district heating and cooling networks to support France's energy transition commitments. The programme targets 52.7TWh of heat delivered through district heating networks by 2030, with renewable and recovered energy accounting for 75% of the mix (equivalent to 39.5TWh). By 2035, the objective rises to at least 68TWh of heat delivered, with renewable and recovered energy representing 80% of the total, corresponding to a minimum target of 54.5TWh (see Exhibit 16).

EXHIBIT 15: French district heating networks



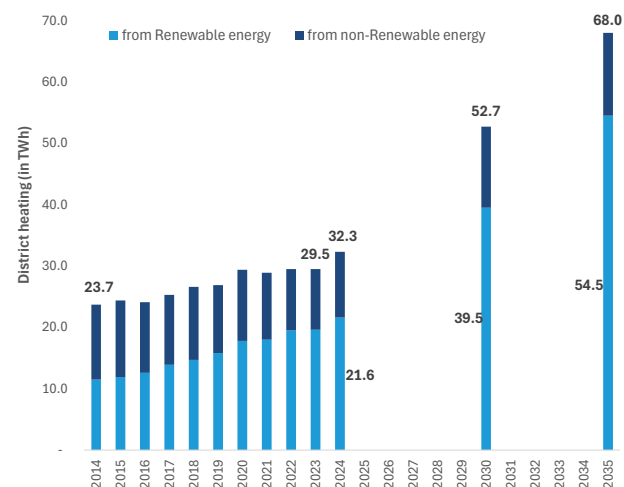
Source: FEDENE

EXHIBIT 14: Evolution of French district heating energy delivered in TWh



Source: FEDENE

EXHIBIT 16: Evolution of French district heating energy delivered in TWh



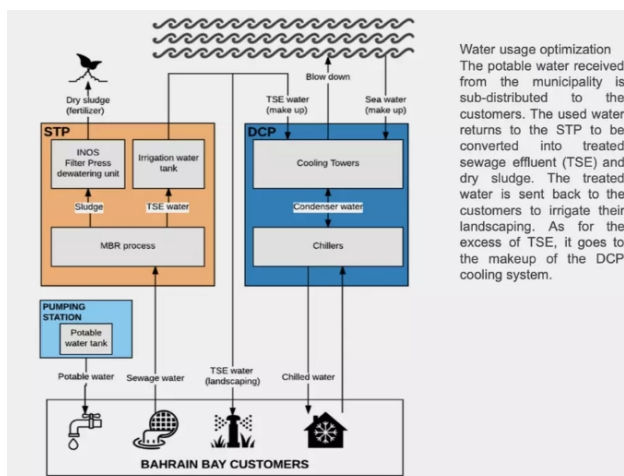
Source: FEDENE

WHAT IS ENGIE AND VEOLIA EXPOSURE TO DISTRICT COOLING NETWORKS ?

Veolia: District cooling is part of Veolia's 'District Heating & Cooling' business, which generated €7.24bn of revenue (16.3% of total revenues) and €1.09bn of EBITDA (15.4% of total) globally in 2025. This activity sits within Veolia's Energy segment, and is one of its strongholds, and, according to the company's financial statements, is primarily located in Central and Eastern Europe. Veolia [presents](#) itself as the n°2 in district heating and cooling in Europe.

Our understanding, however, is that Veolia's operations in Central and Eastern Europe (notably Poland, Germany, Hungary and the Czech Republic) are predominantly focused on district heating rather than cooling. We therefore estimate that district cooling accounts for c.20-25% of the District Heating & Cooling business, with the bulk of the activity concentrated in Asia ([Hong Kong](#), [Singapore](#)) and the Middle East ([United Arab Emirates](#), [Bahrain](#)), and to a lesser extent in Europe (including Spain and France). Veolia also maintains a presence in France. For example, the group was [awarded](#) the Paris-Saclay district heating and cooling network contract in 2023. Nevertheless, its domestic footprint remains relatively limited following the [disposal](#) of its stake in Dalkia France in 2014.

EXHIBIT 17: Bahrain bay district cooling network



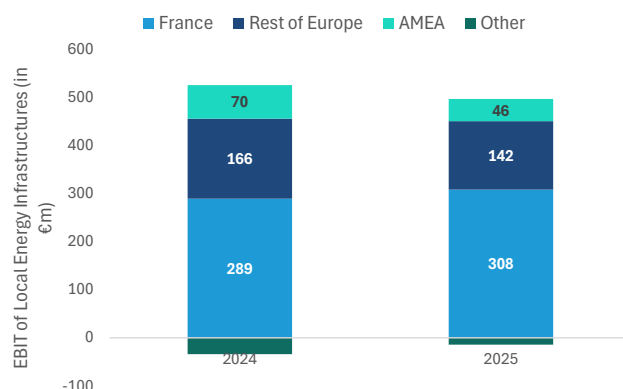
Source: Veolia

Potential interest in Dalkia? During its post-1H25 roadshow in Paris in August 2025, Veolia was [asked](#) whether it would be interested in acquiring Dalkia, EDF's district heating subsidiary, amid [reports](#) that EDF was evaluating strategic options for the business. As a reminder, Dalkia was jointly owned by EDF and Veolia until 2014, when the two groups agreed to separate their respective assets. Veolia declined to comment but stressed that the current GreenUp strategy does not include major M&A transactions. Any large opportunity would have to meet several criteria, including being: a) value accretive, and b) linked to 'booster' or 'stronghold' activities, but with a higher threshold for the latter. That said, Veolia indicated that it has proved its agility, with €1bn disposed in 2024 and €2.2bn acquired in 2025 year-to-date.

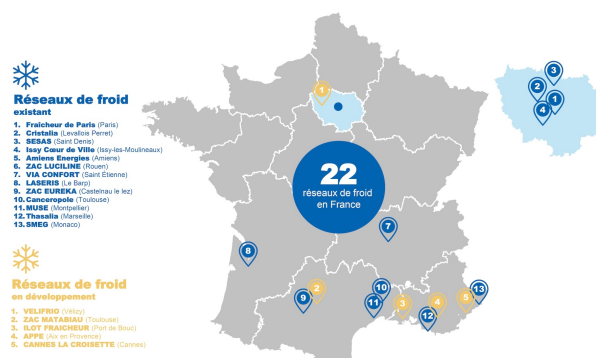
Cold recovery from LNG regasification terminals. Veolia has [developed](#) an urban cooling network that use waste cold generated during the regasification process at Enagás' LNG terminal in the Port of Barcelona. The system recovers residual cold energy, generating approximately 131GWh of energy annually. In a conventional regasification process, liquefied natural gas (LNG) arrives by ship at around -160°C and is warmed using seawater to convert it back into gaseous natural gas for distribution. Through a new regasification solution this residual cold is recovered and re-injected into Barcelona district cooling network.

Engie. District cooling activities are housed within Engie's 'Local Energy Infrastructures' (LEI) business unit (formerly Energy Solutions), which develops and operates decentralized energy systems. In 2025, LEI generated €8.83bn of revenue, including €5.47bn in France and €2.96bn in the rest of Europe, and delivered €939m of EBITDA (6% of total EBITDA) and €482m of EBIT (5% of total EBIT). Engie [describes](#) itself as the **world's leading district cooling operator** and the third-largest district heating operator, with 11.7GW of heat production capacity across 256 heating networks and 4.4 GW of cooling capacity across 116 district cooling networks worldwide ([link](#)).

- Engie [operates](#) **22 district cooling networks in France** and Monaco, including systems serving central Paris, Marseille (Thassalia) and other major urban areas (see Exhibit 19). Through its subsidiary Fraîcheur de Paris, the group [operates](#) the **largest district cooling network in Europe**, supplying cooling to a number of buildings, including the Louvre Museum, Paris City Hall, the French National Assembly, and Forum des Halles, as well as schools, hospitals and nursing homes.
- Internationally, Engie [operates](#) **6 district cooling networks in Southeast Asia** (Philippines, Malaysia and Singapore) and **102 networks across the Gulf region** (UAE, Saudi Arabia, Qatar and Oman). For instance, the group has exposure to the sector through its 40% [stake](#) in Tabreed (National Central Cooling Company PJSC), a UAE-based district cooling utility ([link](#)).

EXHIBIT 18: Engie: EBIT of Local Energy Infrastructures (in €m)


Source: Engie

EXHIBIT 19: Engie operates 22 district cooling networks in France and Monaco.


Source: Engie

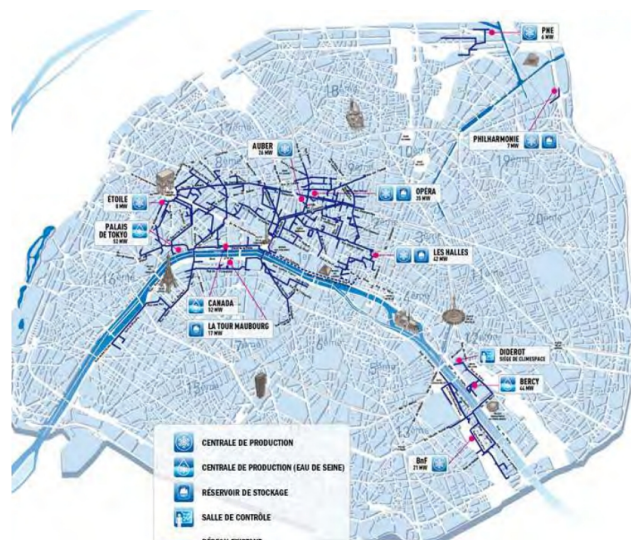
Engie manages Paris district cooling system since 1991

The company '[Fraîcheur de Paris](#)' (which translates as "the freshness of Paris") is responsible for producing, storing, and distributing cooling energy across the French capital. It serves cooling to a wide range of customers, including hotels, department stores, office buildings, and museums (Louvre, Grand Palais, ...). It succeeded Climespace, an Engie subsidiary that had held the concession since 1991. 'Fraîcheur de Paris' is owned by Engie (85%) and RATP Solutions Ville (15%).

According to company disclosures, Fraîcheur de Paris develops and operates one of Europe's largest district cooling networks and the 11th largest worldwide with [438MW](#) of capacity. Its infrastructure includes 120km of underground pipelines serving 924 customers across Paris. The company delivers approximately 493GWh of cooling energy, generates €114m in revenue, and invested €51.2m in 2024 to expand and modernize the network.

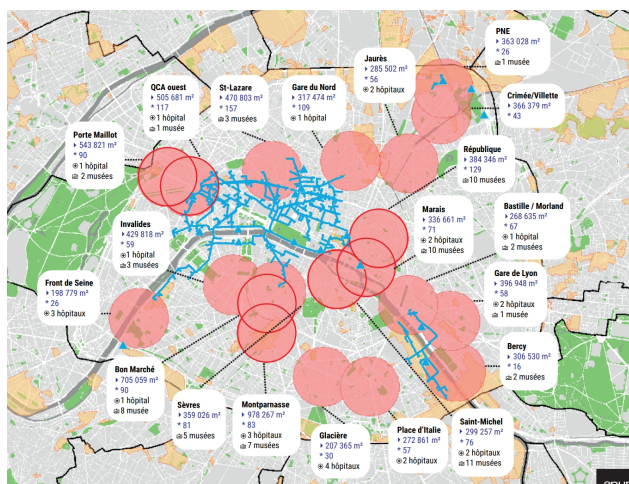
A €2.4bn contract over 20-years. In December 2021, the City of Paris [renewed](#) the concession for its district cooling network for twenty years with **Engie**, which had already been the concessionaire since 1991. Engie partnered with the RATP, the Paris public transport operator. The Engie-RATP consortium won the contract against Dalkia (a subsidiary of EDF) partnered with Veolia, and Coriance. The total value of the contract, which runs until 2042, is estimated at €2.4bn. The new concessionaires have committed to building an additional 158km of network over the period. This expansion will allow *Fraîcheur de Paris* to provide cooling to more than 300 buildings such as hospitals, retirement homes, nurseries, schools, and metro stations. The statement from the new joint venture highlights: "As a result, Europe's largest district cooling network will nearly triple in length over 20 years: 20 new production plants and 10 storage installations will be built to serve more than 3,000 subscribers". According to a 2019 [study](#) conducted for the City of Paris, cooling demand was estimated at 2-3TWh per annum at the time and is projected to increase to 3.5-4TWh per annum by 2050 ([link](#), [link](#)).

EXHIBIT 20: Paris district cooling network



Source: Ville de Paris

EXHIBIT 21: Potential network extension



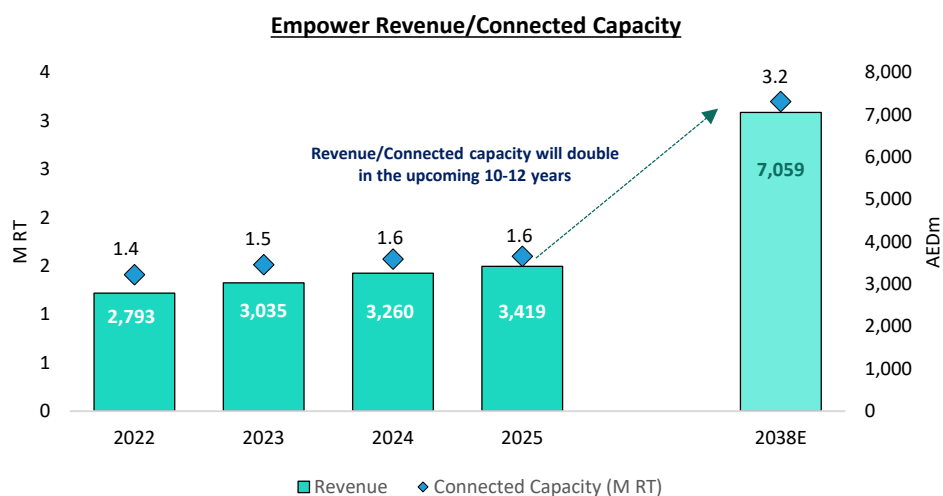
Source: Ville de Paris

EMPOWER - 85% DC MARKET SHARE IN DUBAI

Established in 2003 as a Dubai-government-backed district cooling utility and listed on the Dubai Financial Market in November 2022, Empower operates a regulated, infrastructure-like platform with c.80% market share in Dubai. The business is supported by ~25-year average contracted revenues and 1.97mn RT of contracted capacity, translating into high earnings visibility and high customer stickiness.

Operating quality is reflected in c.49% adjusted EBITDA margins, long asset lives of 30–50 years, and ~99.9% reliability, underpinning predictable cash generation, distributions, and sustained return visibility.

EXHIBIT 22: A 3.2m RT master-plan pipeline provides a clear runway for revenue growth as contracted capacity converts to connected assets

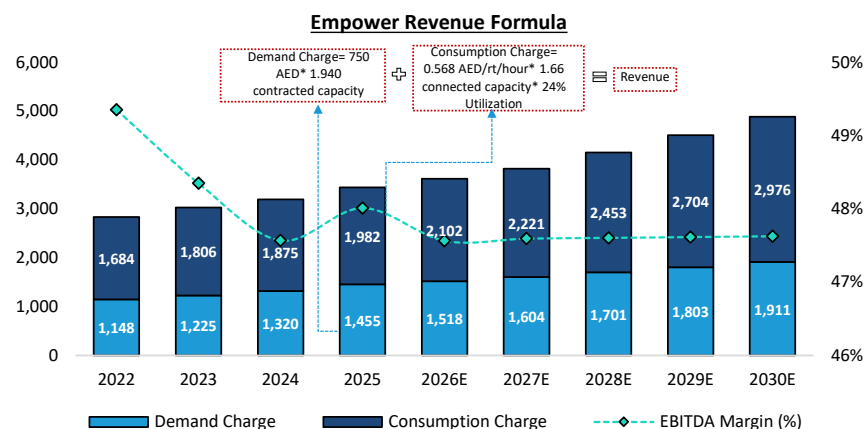


Source: Company reports; Bernstein analysis & estimates

An attractive pricing formula. Empower's revenue model combines a fixed demand charge (AED750/RT/year) linked to contracted capacity, and a variable consumption charge (AED0.568/RT/hour) tied to actual cooling delivered. This implies a revenue floor (40% of total revenue) and a variable component (60%) that fluctuates with consumption. In addition, a fuel surcharge protects against power price volatility (Utilities remained controlled at 40-43% of revenue). This combination underpins

a sustainable 48-50% EBITDA margin.

EXHIBIT 23: **A regulated pricing mix of fixed (40%) and variable (60%) charges**



Source: Company reports; Bernstein analysis & estimates

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 24: Engie - Adjusted P&L

€m	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26e	FY27e	FY28e	FY29e	FY30e
EBITDA	10,364	8,908	10,561	13,714	15,018	15,569	14,732	15,310	16,737	16,807	17,398	18,163
EBITDA ex nuclear	10,172	8,493	9,158	12,204	13,733	13,395	13,414	14,933	16,475	16,538	17,018	17,786
D&A	-4,543	-4,414	-4,417	-4,670	-4,934	-5,227	-5,262	-5,301	-5,782	-5,876	-6,130	-6,387
D&A ex nuclear	-4,037	-3,888	-3,973	-4,186	-4,254	-4,501	-4,658	-5,181	-5,660	-5,751	-6,005	-6,262
EBIT	5,821	4,494	6,144	9,044	10,084	10,342	9,471	10,009	10,954	10,931	11,267	11,776
EBIT ex nuclear	6,135	4,605	5,185	8,018	9,479	8,894	8,757	9,752	10,815	10,787	11,012	11,524
Of which associates	593	690	751	1,074	1,088	1,063	1,008	972	981	796	920	927
Net financial costs	-1,282	-1,377	-1,494	-1,819	-1,975	-1,908	-1,998	-2,349	-2,612	-2,694	-2,849	-2,986
EBT	4,539	3,117	4,650	7,225	8,109	8,434	7,473	7,660	8,342	8,236	8,419	8,789
Tax	-1,111	-741	-1,142	-1,390	-1,904	-2,034	-1,646	-1,538	-1,619	-1,637	-1,650	-1,730
Effective tax rate (ex associates)	-28.2%	-30.5%	-29.3%	-22.6%	-27.1%	-27.6%	-25.5%	-23.0%	-22.0%	-22.0%	-22.0%	-22.0%
Net income	3,428	2,376	3,508	5,835	6,205	6,400	5,827	6,122	6,723	6,599	6,769	7,060
Minorities	-743	-650	-581	-614	-839	-867	-930	-940	-894	-926	-987	-1,008
% of net income	-21.7%	-27.4%	-16.6%	-10.5%	-13.5%	-13.5%	-16.0%	-15.4%	-13.3%	-14.0%	-14.6%	-14.3%
Discontinued operations	0	-22	231	287	0	0	0	0	0	0	0	0
Net income after minorities	2,685	1,704	3,158	5,508	5,366	5,533	4,897	5,181	5,829	5,674	5,782	6,052
Hybrid coupon	-173	-128	-102	-90	-80	-76	-140	-215	-290	-290	-290	-290
Adj. net income	2,512	1,576	3,056	5,418	5,286	5,457	4,757	4,966	5,539	5,384	5,492	5,762

Source: Bernstein analysis and estimates, Engie

EXHIBIT 25: Veolia - Bernstein estimates for P&L

€m	FY22	FY23	FY24	FY25	FY26e	FY27e	FY28e	FY29e	FY30e	FY25-FY30e CAGR
Revenues	42,885	45,352	44,691	44,396	46,330	48,469	50,271	52,166	54,162	4.1%
% yoy		5.8%	-1.5%	-0.7%	4.4%	4.6%	3.7%	3.8%	3.8%	
EBITDA	6,196	6,543	6,788	7,050	7,436	7,909	8,263	8,565	8,882	4.7%
% yoy		5.6%	3.7%	3.9%	5.5%	6.4%	4.5%	3.7%	3.7%	
Renewal expenses	-303	-303	-295	-305	-305	-305	-305	-305	-305	
Amortization including OFA repayment	-3,025	-3,060	-3,156	-3,178	-3,308	-3,438	-3,538	-3,638	-3,738	
Industrial capital gains net of provisions, asset impairment and other	68	43	78	82	50	50	50	50	50	
Share of current net income of JV and associates	127	123	132	90	110	110	110	110	110	
EBIT	3,063	3,346	3,547	3,739	3,983	4,326	4,580	4,782	4,999	6.0%
Cost of net financial debt	-707	-626	-652	-692	-755	-812	-820	-829	-836	
Other financial income and expense	-386	-350	-374	-313	-323	-329	-335	-341	-348	
Net financial capital gains	70	11	60	14	0	0	0	0	0	
EBT	2,040	2,381	2,581	2,748	2,905	3,185	3,425	3,612	3,815	6.8%
Income tax expense	-514	-599	-664	-675	-727	-800	-862	-910	-963	
Net income	1,526	1,782	1,917	2,073	2,178	2,386	2,563	2,701	2,852	
Minorities	-363	-446	-387	-431	-417	-442	-468	-496	-526	
Net income after minorities	1,163	1,336	1,530	1,642	1,762	1,944	2,094	2,205	2,325	7.2%
% yoy		14.9%	14.5%	7.3%	7.3%	10.3%	7.8%	5.3%	5.5%	
EPS (p)	1.69	1.89	2.13	2.25	2.42	2.67	2.87	3.02	3.19	7.2%
DPS (p)	1.12	1.25	1.40	1.50	1.59	1.76	1.90	2.00	2.11	7.0%
P/E	15.3	14.8	13.7	14.7	13.7	12.4	11.5	10.9	10.3	
Dividend yield	4.3%	4.5%	4.8%	4.5%	4.8%	5.3%	5.7%	6.0%	6.4%	

Source: Bernstein analysis and estimates, Veolia

EXHIBIT 26: **Empower - Bernstein estimates for P&L**

AEDm	FY23	FY24	FY25	FY26e	FY27e	FY28e	FY29e	FY30e	FY25-FY30E CAGR
Total Revenue	3,035	3,260	3,419	3,620	3,825	4,153	4,506	4,887	6.13%
COGS	1,741	1,918	1,990	2,051	2,167	2,351	2,550	2,764	
Gross Profit	1,332	1,402	1,488	1,569	1,658	1,802	1,956	2,122	
Margin %	43.9%	43.0%	43.5%	43.3%	43.4%	43.4%	43.4%	43.4%	
General & Administrative	220	235	256	264	279	303	329	357	
Depreciation & Amortization	348	359	370	391	412	446	483	523	
Operating Income/EBIT	1,119	1,192	1,272	1,331	1,409	1,531	1,663	1,805	6.01%
Margin %	36.9%	36.6%	37.2%	36.8%	36.8%	36.9%	36.9%	36.9%	
Finance income	44	54	55	50	50	50	50	50	
Finance costs	-221	-248	-225	-220	-220	-220	-220	-220	
Pre-Tax Income	942	998	1,103	1,161	1,239	1,361	1,493	1,635	
Current income tax expense	17	-90	-99	-120	-127	-138	-150	-162	
Net Income	960	908	1,003	1,041	1,112	1,223	1,343	1,472	6.60%
Minority Interest	7	11	11	11	11	11	11	11	
Net Income (after minority interest)	952	896	993	1,031	1,101	1,212	1,332	1,462	
EBITDA	1,467	1,551	1,642	1,722	1,821	1,977	2,146	2,327	5.99%
Margin %	48.3%	47.6%	48.0%	47.6%	47.6%	47.6%	47.6%	47.6%	
Basic and diluted EPS (AED)	0.10	0.09	0.10	0.10	0.11	0.12	0.13	0.15	6.66%
Dividend per share (AED)	0.09	0.09	0.09	0.08	0.09	0.10	0.11	0.12	4.95%
Dividend Yield	4.9%	5.1%	5.4%	3.9%	4.2%	4.6%	5.1%	5.6%	
EV/EBITDA	14.5	13.1	11.8	13.9	12.9	11.8	10.7	9.6	

Source: Bernstein analysis and estimates, Empower

We would like to thank Youssef Takieddine for his contribution to his report.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

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VALUATION METHODOLOGY**Empower**

We value Empower using a DCF valuation (WACC of 8.1% and a 0% terminal growth rate) yielding a price target of AED2.1.

Engie SA

We value Engie on a 1-year forward SOTP basis, to arrive at our €29.4 price target. We value gas networks as 15% premium to RAB, while Brazilian and UK electricity grids are valued at a 20% and 50% premium, respectively. We value Supply and Energy Management activities at 6x FY26e EV/EBITDA, while contracted Local Energy Infrastructure is at 10x. Renewables valuation is a combination of a DCF (6.7% WACC) and a target multiple of 11x given the young age of the fleet and a high exposure to hydro generation, while Gas generation is valued at 6x EV/EBITDA for merchant and 9x EV/EBITDA for contracted capacities including the potential disposal proceeds. We value EV adjustments (e.g. minorities, provisions, hybrids, net financial debt, nuclear liabilities, pension liabilities and financial assets) by taking into account the book value.

Veolia

We use a DCF approach to set our €40.0 target price. We have decided to value Veolia on an FY26e-FY30e DCF basis with the terminal value based on an FCF growth rate of 2% matching inflation/GDP growth and our positive stance towards water technologies and hazardous waste growth outlook driven by increasing statutory requirements and rising environmental awareness. Furthermore, in order to take into account Veolia's geographical diversification, we estimate the required cost of equity for different regions taking into account local risk-free rates (proxied by 10y sovereign bond yields) and Equity Risk Premia. Furthermore, we are also calculating the weighed-average beta for Veolia based on business segments, where are associate water activities with a beta of 0.8x, waste and special waste with 1.1x/1.2x, energy 1.1x and water technologies with 1.1x to account with a certain degree of Veolia's cyclicity despite the underlying trends being non-macro dependent. As a result, our post-tax WACC (based on an effective tax rate of 27%) equals to 5.9%. That comes up to 6.4% based on a pre-tax cost of debt of 3.6% (note: we use pre-tax cost of debt given the fact that actual tax payments are taken into account in our DCF, i.e. after the application of the interest tax-shield). From the estimated EV, we are subtracting net financial debt, provisions (pension and asset decommissioning) as well as an estimated value of minorities (12x FY26e P/E). We add back an estimates value of associates and JV (10x FY26e P/E).

Empower

We value Empower using a DCF valuation (WACC of 8.1% and a 0% terminal growth rate) yielding a price target of AED2.1.

RISKS**Empower**

Downside risks: 1) A slower-than-expected Dubai real estate delivery cycle could delay new customer connections and utilization ramp-up, given Empower's growth is closely tied to new developments and contract awards in the emirate. 2) The plan to roughly double capacity over time implies execution risk, as construction delays, cost overruns, or lower-than-expected load take-up could dilute returns on new cooling plants and networks. 3) A less supportive regulatory backdrop for district cooling, or weaker policy

enforcement in favor of centralized systems.

Engie SA

Performance of any of the company's large business segments would pose risks to our price target. Downside risks for the Conventional generation business include lower Clean Spreads and lower volatility on the power market. Downside risks for renewable assets include lower volumes or lower returns due to higher installation, capital or financing costs. Downside risks for networks include lower volumes for the French gas distribution activity.

Upside risks: Power demand impacting B2B and B2C, Gas demand impacting networks, Power prices, spread and volatility impacting Engie's trading division, gas power generation and merchant renewables

Veolia

Downside risks are: 1) difficulties arising from the integration of acquired assets; 2) lower-for-longer inflation, preventing Veolia from passing on cost increases in its regulated businesses; 3) political intervention, as Veolia is more exposed post the Suez transaction through the regulated water segment; 4) lower industrial output and subsequently lower waste volumes; 5) additional capital allocation given positive FCF and balance sheet headroom; 6) missing on efficiency targets

Empower

Downside risks: 1) A slower-than-expected Dubai real estate delivery cycle could delay new customer connections and utilization ramp-up, given Empower's growth is closely tied to new developments and contract awards in the emirate. 2) The plan to roughly double capacity over time implies execution risk, as construction delays, cost overruns, or lower-than-expected load take-up could dilute returns on new cooling plants and networks. 3) A less supportive regulatory backdrop for district cooling, or weaker policy enforcement in favor of centralized systems.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

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Bernstein brand stock ratings are based on a 12-month time horizon.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

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- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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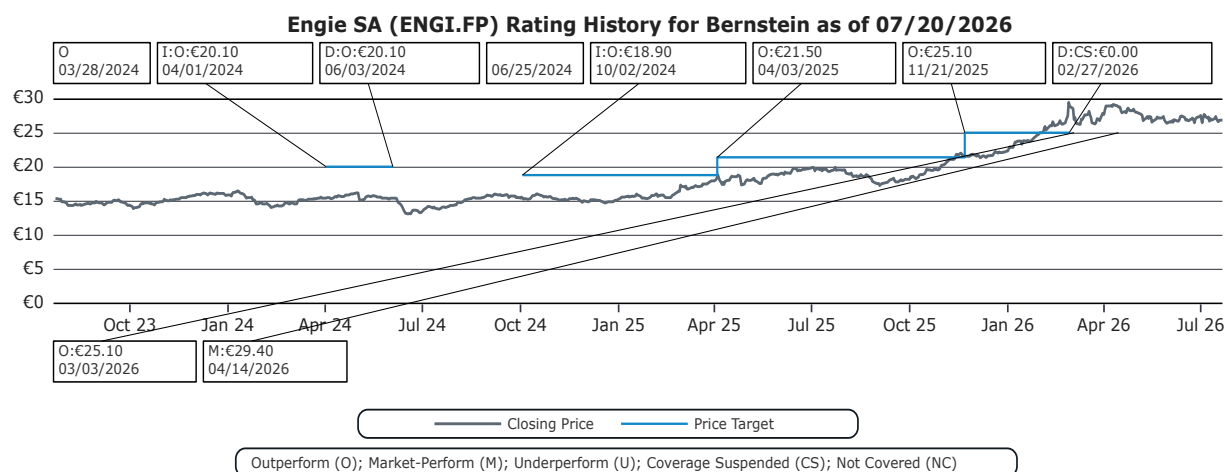
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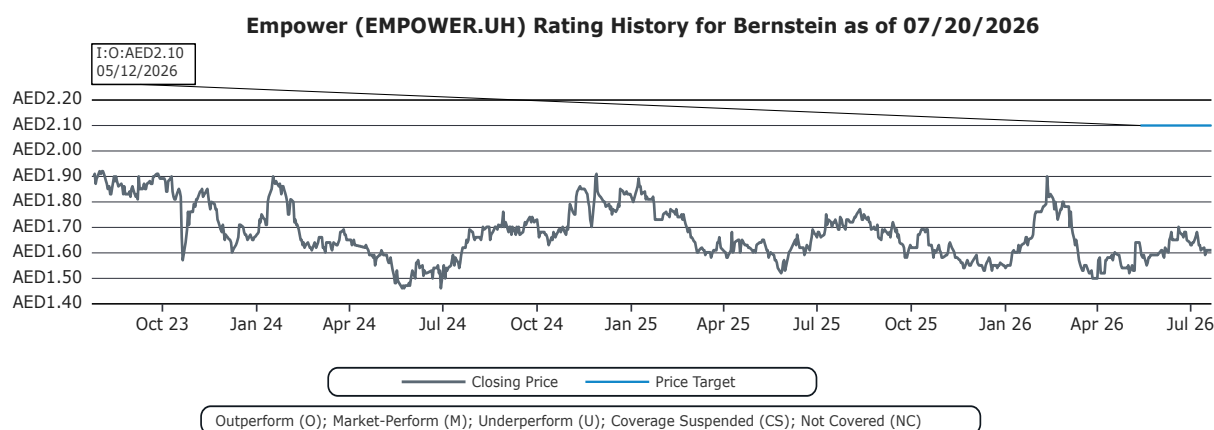
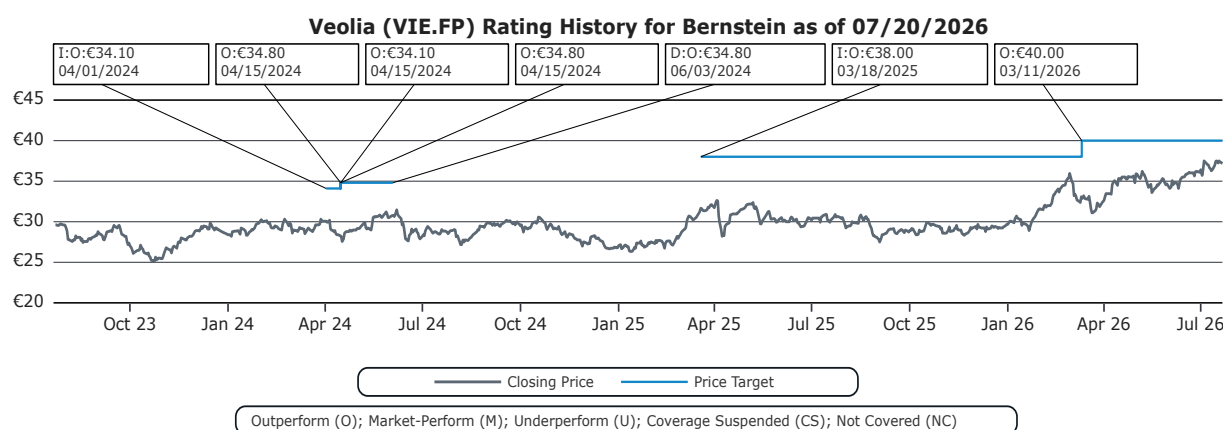
Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
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All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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